

The young growth stock offers by far the greatest possibility of gain. Sometimes this can mount up to several thousand per cent in a decade. But making at least an occasional investment mistake is inevitable even for the most skilled investor. It should never be forgotten that if such a mistake is made in this type of common stock, every dollar put into the investment can be lost. In contrast, if the stock is bought according to the rules described in the next chapter, any losses that might occur in the older and more established growth stocks should be temporary, resulting from a period of unanticipated decline in the stock market as a whole. The long-range gain in value of this class of big company growth stock will, over the years, be considerably less than that of the small and usually younger enterprise. Nevertheless it will mount to thoroughly worthwhile totals. Even in the most conservative of the growth stocks it should run to at least several times the original investment.

Therefore, for anyone risking a stake big enough to be of real significance to himself or his family, the rule to follow should be rather obvious. It is to put “most” of his funds into the type of company which, while perhaps not as large as a Dow, a Du Pont, or an international Business Machines, at least comes closer to that type of stock than to the small young company. Whether this “most” be 60 per cent or 100 per cent of total investments varies with the needs or requirements of each individual. A widow with a half million dollars of total assets and no children might put all her funds in the more conservative class of growth stocks. Another widow with a million dollars to invest and three children for whom she would like to increase her assets—to a degree that would not, however, jeopardize her scale of living—might well put up to 15 per cent of her assets in carefully selected small young companies. A businessman with a wife, two children, a present investment worth \$400,000, and an income big enough to save \$10,000 per annum after taxes might put all his present \$400,000 into the more conservative-type growth companies but venture the \$10,000 of new savings each year on the more risky half of the investment scale.

In all these cases, however, the gain in value over the years of the more conservative group of stocks should be enough to outweigh even complete loss of all funds put into the more risky type. Meanwhile, if properly selected, the more risky type could significantly increase the total capital gain. Equally important if this happens, these young risky companies will